

customers, and claims to help partner SMEs reduce turnaround time, achieve 4x increase in profit margins and 2x capacity expansion.

“Start-ups are bringing big-company processes to SMEs, helping them become more data- and metrics-driven, hence making them globally competitive. They are helping them with their product discovery, outreach and go-to-market strategy, both in India and outside India,” says Sameer Jain, Council Chair of SME Council at Nasscom.

WITH THE EMERGENCE OF viable and economical digital retail technology solutions, a lot of SMEs are going directly to consumers. Many start-ups similar to Fashinza are helping them in this more. Arzooo, which enables offline electronic retailers to compete on par with online platforms by creating a digital inventory; Unicommerce, an online, multi-channel order fulfilment platform; LoveLocal, which provides complete shop digitalisation solutions for retailers; and Zomato-backed Shiprocket, an e-commerce shipping and enablement platform for SMEs, are pushing the digital wave among small businesses.

“Start-ups are great enablers for SMEs, helping them embed advanced digital tools like AI and ML into their business models. The SME sector is a massively untapped market for start-ups, as the deep-rooted pain points around marketing, finance, inventory management, logistics and skilled manpower offer start-ups enough use cases to innovate low-cost technology solutions,” says Hemant Seth, Director of MSME at industry body FICCI.

K.R. Sekar, President of the Bangalore Chamber of Industry and Commerce, says affordability and ease of working with start-ups are the major factors driving the growth of this increasing collaboration. “Start-ups, given the size of their operations, are nimble and have no constraints in terms of innovation quotient. They want a test bed for their products and



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COUNCIL CHAIR, SME COUNCIL, NASSCOM



“The challenge of using technology has vanished thanks to digital payments services. Today, the questions being asked are around the possibilities of integrating different tech products they use”

VISHAL GUPTA

CO-FOUNDER, HYLOBIZ

SMEs are in the right place to support this requirement. SMEs that were reluctant in implementing technology solutions due to their exorbitant costs are now finding that they can work with start-ups for technological knowhow at a price point that is affordable for them,” he adds.

Moreover, SMEs today are travelling beyond the mainstream e-commerce marketplaces to social media for increased visibility. According to a recent study titled ‘Digital Adoption Trends Among SMBs’ by fintech firm NeoGrowth, about 66 per cent of SMEs in the country have migrated to online sales. Google Business (35 per cent), and WhatsApp, Facebook and Instagram (combined 20 per cent) are the top digital platforms SMEs leverage for customer discovery. Another survey conducted by web hosting service provider Bluehost in the first two weeks of June 2021 showed SMEs receiving as much as 72 per cent of their payments through digital channels compared to 28 per cent of cash payments, which is testimony to the impact fintech start-ups have made across the space.

Udyam, a government-run portal to register MSMEs, has 8.4 million registered entities and as per the National Sample Survey (NSS), during the period 2015-16, there were 63.4 million unincorporated non-agriculture MSMEs in the country. And it would not be an overstatement to say that fintechs have made deep inroads at all levels of the Indian MSME ecosystem. Despite that, a study conducted by the U.K. Sinha-headed committee for the RBI in June 2021 showed the overall credit gap facing MSMEs to be approximately ₹20-25 lakh crore, while another study conducted by the International Finance Corporation (IFC) pegged it at ₹25.8 lakh crore. And fintech start-ups are playing a significant role in narrowing this credit gap.

A host of highly funded technology-based lending platforms like Paytm, Oxyzo, KredX, Razorpay, Lendingkart and CredAvenue offer enterprise loans, either in partnership with banks and